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Japan Equity Monthly Strategy

Japan equities under the Middle East conflict: Extent to which market factors in higher oil prices

A month has passed since the Middle East conflict began. In March, as Middle East oil prices continue to rise, the stock market of highly dependent Japan has fallen by more than 10%, as have other Asian markets. The Japanese government is releasing oil reserves, but we do not think share prices adequately factor this in. We calculate the negative impact of higher crude oil prices on corporate earnings at 4ppt under early resolution of the conflict and 6~7ppt under a medium-term resolution scenario (3~6 months). The fall in share prices has deepened to over 10% since the conflict began, which we view as greater than the fundamental impact. The conflict's impact on earnings and share price reactions to this suggest Japanese stocks are oversold, but it is also true that equities were starting to look overheated after the sudden rise in share prices before the conflict. However, this overheating has receded significantly, mainly in defense, construction, real estate, banks, and semiconductors, as share prices fell after the conflict began, making it easier to buy. On a short-term perspective, assuming crude oil prices remain high, we reiterate our Overweight stances on real estate, finance, defense, and semiconductors, where fundamentals are strong and stocks no longer look overheated, while we continue to focus on the positive impact on energy and resources and the negative impact on electric power, steel, transportation & logistics, and raw materials & chemicals. We expect a growing focus on the theme of consumer spending recovery as global market sentiment worsens.

Summary

- Japanese stocks have fallen more than 10% in March as the price of Middle East crude oil continues to rise. We calculate the negative impact of higher crude oil prices on corporate earnings at 4ppt under early resolution and 6~7ppt under a medium-term resolution scenario (3~6 months). We believe share prices at end-March factor in the risk of crude oil prices remaining at the current high level for at least a year.
- Supply shocks may occur in some business areas, such as naphtha, which has limited reserves, but the earnings impact of supply network disruption cannot be fully quantified.
- The earnings impact and share price reaction after the conflict began suggest Japanese equities may be oversold. However, equities were looking overheated in the rapid rise ahead of the conflict. These overstretched valuations have receded in sectors such as banking, machinery, semiconductors, real estate, and construction as share prices fell since the conflict began.
- Overseas investors were net sellers of ¥1.5 trillion in equities in March, but this amounts to selling of a mere third of their ¥4.5 trillion net buying in February.

Equity Strategy

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- In the short term, we will watch the impact of higher crude oil prices on earnings (positive for energy & resources and trading companies, negative for electric power, steel, transportation & logistics, and raw materials & chemicals). We reiterate our Overweight stances on real estate, construction, finance, defense, and semiconductors, where earnings are strong and overheating has faded. We will also watch the theme of recovery in personal consumption.
- We show stocks which look significantly oversold in sectors rated Overweight by our strategy team and stocks that we expect to benefit from a recovery in domestic consumption.

Monthly Topics

(1) Japan equities under a prolonged Middle East conflict: To what extent do Japan equities factor in higher crude oil prices?

Middle East crude oil prices continue to rise, selling pressure on Japan equities growing

A month has now passed since the Middle conflict began. Concerns about a prolonged conflict have emerged, putting downward pressure on Japanese equities. Since the conflict broke out, a pattern of high crude oil prices, dollar appreciation, and equity and bond sales has persisted (Brent oil price +60%, Dubai oil price +80%, dollar index +2%, MSCI ACWI -7%, UST 10-year yield +0.4ppt; as of March 31 compared with end-February). In equity markets the performance gap has widened between oil-producing and oil-importing countries, with the US and Latin America strong, but Asia (including Japan) and Europe sold off (on the same basis MSCI emerging markets -13%, KOSPI -19%, Nikkei 225 -13.2%, TOPIX -11.2%, S&P 500 -5%, and STOXX -8%).

Japan relies on crude oil for 30% of its energy consumption, while 90% of its imports are from the Middle East. It is thus expected to be hit harder than the US, as with other Asian markets, and the market has come under selling pressure. The price of Middle East crude oil temporarily rose to \$175/barrel on March 19, up 2.4x from the end of February and pushing the price differential with WTI/Brent prices to record highs, but has now settled down in the \$100-110 range, while the gap with WTI/Brent has also started to narrow (reducing the discount factor).

Japan's resilience to high oil price not factored into share prices (strategic oil reserves, price caps, reference price revisions)

Furthermore, although Japan is also a crude oil importer, it is very resilient to higher crude oil prices within the context of Asia, and we do not think this has been fully factored into equity prices (compared to end-February: TOPIX -11.2%, MSCI APAC -13.3%). Japan's considerable resilience to higher crude oil prices is evident from the following. 1) Japan has large strategic oil reserves compared with other countries at around 250 days, following the experience of the oil shocks in the 1970s. The government released the equivalent of 20% of this on March 16, likely softening the supply shock (although the impact on the price shock will be limited, and much of the gains will accrue to the energy & resources and trading companies; Figure 1). 2) The government has restored the subsidy program for regular gasoline. We expect it to reinstate similar support measures for electricity and gas prices, which will likely be impacted by the spillover from higher oil prices. 3) In response to the continued rise in the price of Middle East oil, the government has asked companies to switch their pricing benchmarks from Dubai crude to Brent crude ([March 27 Reuters report](#)), and this should mitigate the economic and market impact. On a medium-term view, the government is considering proposals to import crude oil and naphtha from India in exchange for LPG ([March 27 Reuters report](#), Japanese only).

Impact of higher crude oil prices on corporate earnings: We calculate a 4ppt hit to EPS under early resolution, 6~7ppt under medium-term resolution

We have made a minor adjustment to our calculations of the impact of higher crude oil prices on earnings (Figure 2) based on growing expectations of a prolonged conflict and rising estimates for the post-conflict oil price (we previously expected the oil price to return to pre-conflict levels after the war ends, but now think it will only come down to

20% above the pre-conflict level). Looking at our three scenarios, 1) our early resolution scenario assumes the Strait of Hormuz becomes passable in April, and crude oil prices fall to 20% above the pre-conflict level, depressing TOPIX EPS by only around 4ppt. 2) In our medium-term resolution scenario we assume it takes 3–6 months for the Strait of Hormuz to be opened, and that the oil price remains around its current level until then (about \$110/barrel), depressing EPS by 6–7ppt or so. 3) Under our long-term resolution scenario, we assume the blockade is not lifted until year-end and oil prices remain at their current level, and calculate the negative impact on EPS at around 8ppt. Expectations of prolonged conflict are gaining traction, and we think the market's time-frame has started to shift from (1) to (2) at this stage.

Current share price decline of over 10% reflects risk of oil remaining at current high price for at least a year

In the equity market, the TOPIX decline deepened to 11% versus end-February on March 31 (Nikkei 225 down 13%), declining considerably beyond the impact on fundamentals. We think the current 11–13% decline reflects a significant degree of risk, e.g., the oil price remaining at the current \$110/barrel for at least a year, or at \$175/barrel for 2–3 months.

Risks: Supply disruption shock not fully quantified

Our calculations (Figure 1) factor in secondary impacts in the supply network, but we have not fully quantified a supply network shock (supply disruption). We think major supply shocks can be avoided by the release of strategic oil reserves, but that they could occur for products such as naphtha (petrochemical product: plastic raw material), for which reserves are low at about one month.

How to assess the pullback from high valuations?

Comparing the Middle East conflict's earnings impact with share price reactions, it is feasible to conclude that Japanese stocks are oversold, but investors also note that Japanese shares had risen sharply until the conflict broke out, and valuations had increased (based on feedback from US and European investors in late-March). However, this perceived overheating has also receded significantly, mainly in defense, construction, real estate, banks, and semiconductors, due to the share price decline since the conflict began, making it easier to buy (Figure 6, Figure 7). Figure 29 shows stocks which look significantly oversold in sectors rated Overweight by our strategy team.

Benefits for energy/trading companies, negative impact on electric power, steel, transportation & logistics, raw materials & chemicals

Based on the earnings impact of high crude oil prices by sector, we expect the energy & resources sector and trading companies to benefit. On the other hand, we expect a substantial negative impact on electric power, steel, transportation & logistics, and raw materials & chemicals.

Even if a ceasefire agreement is reached, we expect oil prices to remain to some degree elevated even once the Strait of Hormuz blockade is lifted. We expect downward pressure from high crude oil prices will continue for the time being in sectors with significant negative earnings impact. We expect a limited impact on other sectors' earnings and are thus Neutral. We reaffirm our Overweight stance on real estate, construction, financials, defense, and semiconductors, which have strong earnings and where overheating concerns have eased. The theme of a recovery in consumption also remains a key focus.

Reference reports

[War in Middle East dragging on; the scenario priced into Japanese equities](#) (March 24)

[Japanese stocks fall to oversold level on Iran war; recommend buying on weakness](#) (March 10)

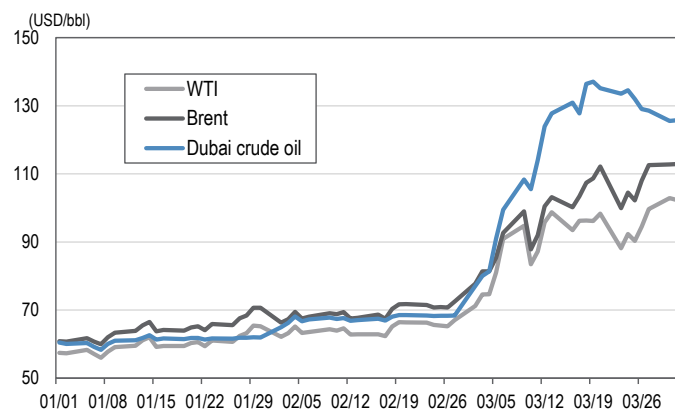
Figure 1: Corporate net profit sensitivity to 10% rise in oil prices

Profit Impact: WTI price hike 10%	Impact on NP (ppt)		Profit Impact: WTI price hike 10%	Impact on NP (ppt)	
	Cost Impact	Sales + Cost Impact		Cost Impact	Sales + Cost Impact
Energy Reso.	0.0%	19.7%	Autos & Tans. Equip.	-8.1%	-0.4%
Fin ex Bank	-0.4%	1.3%	Foods	-4.7%	-0.9%
Comm. & Wholesale	0.0%	1.0%	Retail Trade	-9.8%	-1.2%
Elec Appl. & Prec.	-5.9%	1.0%	Const. & Mater.	-11.0%	-1.5%
Machinery	-7.8%	0.7%	Raw. & Chem.	-18.4%	-5.0%
IT & Service	-0.7%	0.1%	Transprt. & Logi.	-14.9%	-8.9%
Banks	0.0%	0.0%	Steel & Nonfer	-65.9%	-27.0%
Real Estate	-0.9%	-0.1%	Elec. Pwr. & Gas	-52.8%	-34.9%
Pharmaceutical	-3.1%	-0.1%	TOPIX total	-6.9%	-1.3%

Source: Based on J.P. Morgan estimates using sources such as QUICK, corporate disclosure materials, and the MIC "Input-Output Tables (2020)"

Figure 3: International benchmarks by crude production region

The sharp rise in Middle Eastern crude oil prices, which has a significant impact on Japan, is easing



Source: Bloomberg Finance L.P., J.P. Morgan

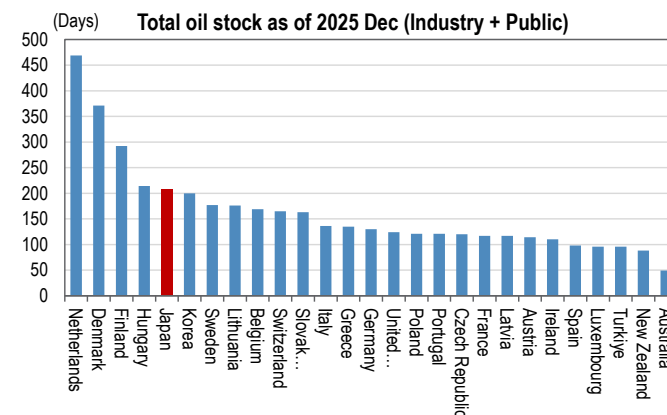
Figure 2: Net profit impact from rising crude oil prices

TOPIX EPS impact (NTM, %pt)			Duration of peak oil prices				
Peak oil price (bbl) Ref: As of 2/28: Dubai oil 72 USD, LTM 67 USD	Oil price	vs 2/28	1M	3M	6M	9M	12M
	80	11%	-3.5%	-3.5%	-3.3%	-3.1%	-3.1%
	85	18%	-3.8%	-3.9%	-4.0%	-4.0%	-4.0%
	90	25%	-4.1%	-4.4%	-4.7%	-4.8%	-4.9%
	100	39%	-4.8%	-5.4%	-6.1%	-6.5%	-6.6%
	110	53%	-5.4%	-6.3%	-7.5%	-8.3%	-8.4%
	120	67%	-6.1%	-7.3%	-9.0%	-10.0%	-10.2%
	130	81%	-6.7%	-8.2%	-10.4%	-11.7%	-11.9%
	140	95%	-7.3%	-8.9%	-11.1%	-12.5%	-12.7%
	150	108%	-8.0%	-10.1%	-13.2%	-15.1%	-15.5%

Source: Based on J.P. Morgan estimates using sources such as QUICK, corporate disclosure materials, and the MIC "Input-Output Tables (2020)"

Figure 4: Oil stockpiles of major IEA member countries

The oil reserves of major IEA member countries—Japan's oil reserves are the largest in Asia

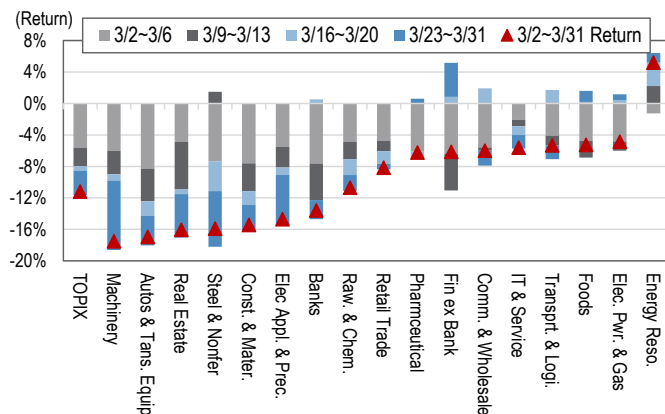


Source: IEA, J.P. Morgan

Note: Japan's oil reserves cover 208 days per IEA criteria and about 250 days per Japan's standard.

Figure 5: Japan equities return by sector

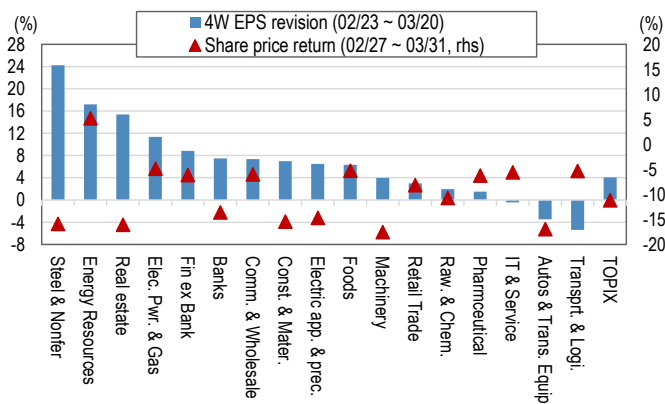
In addition to energy resource stocks, returns on financial stocks have recently increased



Source: Bloomberg Finance L.P., J.P. Morgan

Figure 6: EPS Revision Index by sector and share price return

Steel, non-ferrous metals, real estate, banks, construction, semiconductors, and machinery stocks have been oversold relative to their earnings performance



Source: Datastream, Bloomberg Finance L.P., J.P. Morgan

Figure 7: Japan equities valuation

Due to the post-conflict stock price correction, overheating concerns have eased in sectors such as banks, machinery, semiconductors, real estate, and construction

Event/Indicators		Before PM Takaichi's Appointment (2025/10/01)	After the Launch of the Takaichi Administration (2025/10/21)	Dissolution of the Lower House (2026/01/23)	LDP Landslide Victory in the Snap Election (2026/02/08)	As of the latest date (2026/03/31)
Market index	TOPIX level	3,095	3,286	3,566	3,939	3,516
	Nikkei level	44,551	50,219.2	53,322.9	58,850.3	51,361
	TOPIX NTM PER	15.6	16.4	16.8	18.2	16.2
	TOPIX NTM EPS growth	11.8%	13.2%	11.0%	11.9%	13.2%
TOPIX 17 sector NTM PER level (Z score)	TOPIX	1.05	2.05	2.61	4.43	1.83
	Elec Appl. & Prec.	0.76	2.29	2.78	3.20	0.40
	Autos & Tans. Equip.	1.65	2.18	1.81	2.49	0.89
	Machinery	1.79	3.34	4.12	6.86	3.52
	Steel & Nonfer	2.42	2.71	4.66	8.16	5.74
	Raw. & Chem.	-0.53	-0.39	0.67	2.09	0.85
	Retail Trade	1.25	1.85	1.80	3.49	1.90
	Foods	-0.17	-0.15	-1.91	0.68	-0.23
	Transprt. & Logi.	0.26	0.39	0.59	1.13	0.73
	IT & Service	1.37	2.18	-1.69	-2.12	-2.66
	Const. & Mater.	1.13	2.06	4.00	6.84	2.78
	Elec. Pwr. & Gas	3.16	3.16	4.51	5.43	4.79
	Pharmaceutical	-1.69	-1.52	-1.07	0.15	-0.70
	Energy Reso.	1.66	1.89	2.51	2.97	0.73
	Comm. & Wholesale	1.07	2.19	4.02	6.90	5.87
	Banks	0.06	-0.17	3.06	3.95	1.34
	Fin ex Bank	-1.06	-1.29	-0.24	1.05	0.18
	Real Estate	1.06	1.30	2.23	5.26	1.73

Source: Bloomberg Finance L.P., J.P. Morgan

Note: Each metric is measured using data as of approximately one week after the event date. Metrics for the LDP landslide victory are as of end-February. The 12-month forward P/E is based on Bloomberg consensus estimates. Z-scores are normalized using daily P/E data from October 2023 through end-September 2025.

(2) Recovery in middle-income consumer spending: Stable area under market volatility

Data-points showing an upturn in real wages are increasingly evident in Japan. Expectations of a prolonged Middle East conflict are growing and inflationary effects remain a concern, but we also expect government support, including the resumption of gasoline subsidies, and think positive real wage growth will continue. Amid growing expectations of persistently high oil prices due to prolonged conflict, consumer spending recovery is attracting attention as an investment theme, with both domestic demand and defensiveness as features. Looking at share price performance in the month since the conflict began, sectors such as marine transportation, retail, and food, which benefit from recovery in consumer spending, have outperformed. See Figure 30 for stocks that we expect to benefit from a recovery in domestic consumption.

Real wage growth turns positive, consumer sentiment recovers to top of post-Covid range

Real wage growth turned positive YoY in January. This marked the first annual increase after four consecutive years of decline, and we expect consumer spending to recover. Consumer sentiment has improved rapidly and is approaching its recent peak, but it has just recovered to the top of the post-Covid range, and the focus will be on whether it can rally still further to levels seen in the Koizumi and Abe administrations (Figure 8, Figure 9). The uplift to CPI under a scenario of a 20% rise in the oil price (WTI peak at around \$100/barrel) could be around 0.4–0.5ppt ([our economics team](#)), but financial income such as on investments also rises as asset prices continue to climb, and we expect real income growth and consumer spending revival to continue, so long as excessive yen depreciation is contained.

Recovery in middle-income consumption: Investment in stable area amid growing market volatility

Main drivers behind the recovery in consumer spending in recent years have been mostly localized, such as high-priced consumption by the wealthy or via inbound consumption. The likelihood of the key consumption driver switching to medium-income-bracket spending (catch-up spending to normalize living standards, experiential consumption) is rising. Moderate wage hikes have continued, but persistently high inflation has led to real wage declines for four consecutive years, and middle-income-bracket consumption has fallen behind. Although dependent on how far oil prices rise and the yen weakens, our main scenario for this year is that income growth will continue in the middle-income-bracket, supported by increased financial income and government subsidies for higher gasoline prices (Figure 10, Figure 11).

Spending on lifestyle renovation (education/health, automobile/home upgrades), dining out, travel, leisure

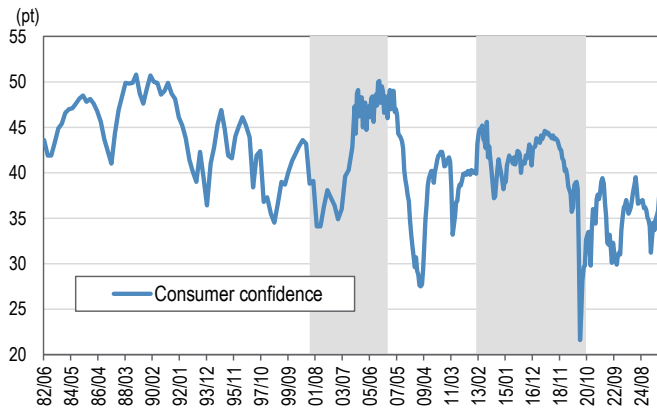
We expect middle-income-bracket consumption growth to transition from the phase of normalizing living standards after the current mindset of austerity (“renovation” consumption; stage 1) to experiential “discretionary and special-occasion consumption” (after confirming stable real income growth; stage 2) and then to high-end consumption (stage 3) (Figure 13). We think middle-income consumer spending is currently moving from stage 1 to stage 2. Renovation consumption under stage 1 includes upgrading consumer staples and foods, maintaining education and health, and maintaining/upgrading automobiles and homes. Consumption categories which stand to benefit from Stage 2’s experiential “discretionary and special-occasion consumption” include dining out (eating out more frequently at affordable restaurants), travel (domestic hotels and railways), and premium consumption (not luxury consumption).

Reference report

Middle-class consumption recovery—a safe haven amid market fluctuations

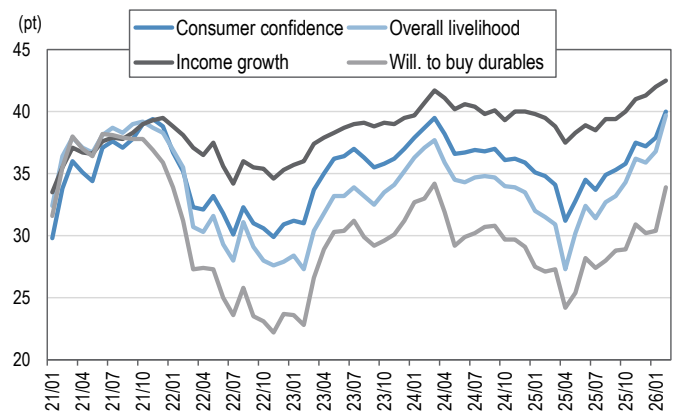
(March 23)

Figure 8: Consumer confidence index during the Koizumi era and the Abenomics period



Source: CAO, Bloomberg Finance L.P., J.P. Morgan

Figure 9: Consumer confidence index



Source: CAO, Bloomberg Finance L.P., J.P. Morgan

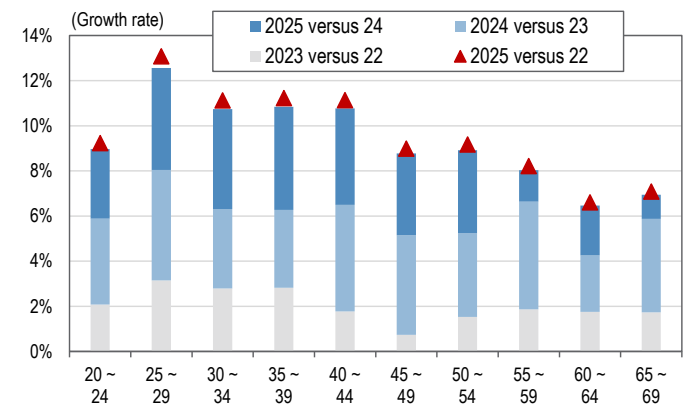
Figure 10: Wages and household expenditure changes by age

Age	Wage YoY increase (%)				Consumption YoY (%)	
	2025 nominal	2024 nominal	2025 real	2024 real	25/01~25/12	24/01~24/12
Average	3.09%	3.80%	-0.11%	1.10%	3.5	1.5
20 ~ 24	4.52%	4.89%	1.32%	2.19%	1.2	-1.4
25 ~ 29	4.43%	3.52%	1.23%	0.82%	7.4	1.8
30 ~ 34	4.57%	3.45%	1.37%	0.75%	2.8	1.4
35 ~ 39	4.27%	4.72%	1.07%	2.02%	4.3	1.0
40 ~ 44	3.62%	4.42%	0.42%	1.72%	3.2	3.1
45 ~ 49	3.67%	3.72%	0.47%	1.02%	3.2	1.8
50 ~ 54	1.40%	4.78%	-1.40%	2.08%	3.2	1.8
55 ~ 59	2.21%	2.51%	-0.99%	-0.19%	3.2	1.8
60 ~ 64	1.07%	4.14%	-2.33%	1.44%	3.2	1.8
65 ~ 69	3.65%	3.86%	0.45%	1.16%	3.2	1.8
70 ~	3.56%	2.11%	0.36%	-0.99%	3.2	1.8

Source: MIC, MHLW, J. P. Morgan

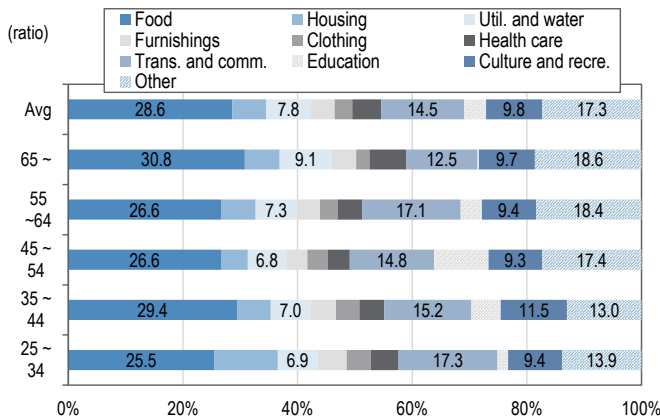
Note: Real wage YoY is calculated based on nominal wages and CPI by JPM

Figure 11: Nominal wage change by age



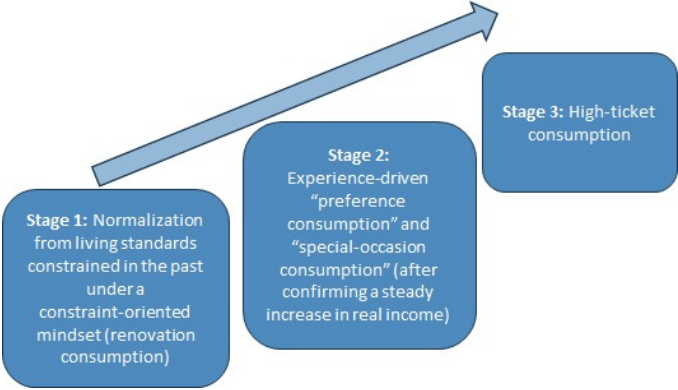
Source: MHLW, J.P. Morgan

Figure 12: Consumption composition by age in 2025



Source: MIC, J. P. Morgan

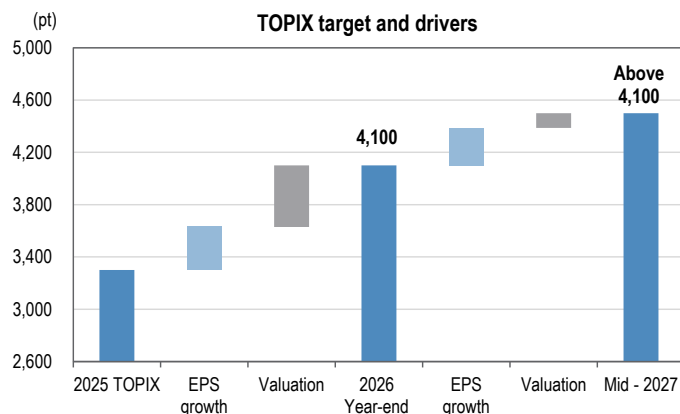
Figure 13: Stage transitions of middle-class consumption



Source: J. P. Morgan

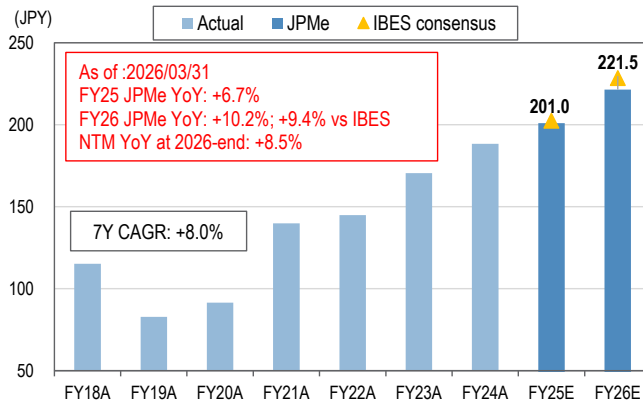
Reference: Japan Equity Outlook

Figure 14: TOPIX price target



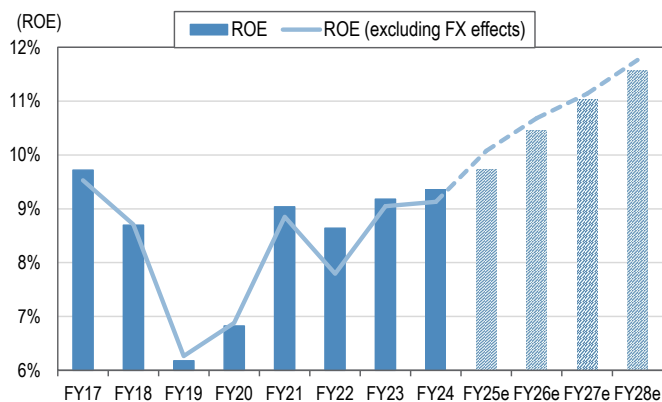
Source: Bloomberg Finance L.P., J.P. Morgan estimates

Figure 15: TOPIX EPS estimates



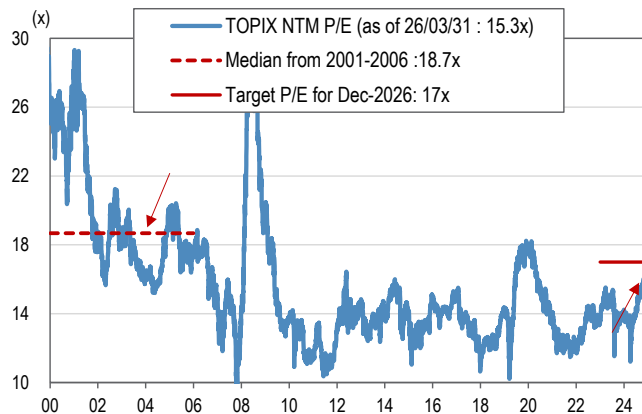
Source: Datastream, J.P. Morgan estimates
Note: CAGR is calculated from FY2018 to FY2025. EPS consensus is IBES.

Figure 16: TOPIX ROE estimates



Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Figure 17: TOPIX P/E estimates



Source: Datastream, J.P. Morgan estimates Note: NTM P/E is IBES consensus.

Figure 18: 2026 year-end Japanese equities outlook

NT ratio: 14.8x	TOPIX 12-month forward PER (x)						
EPS growth in FY2026 vs. 1PMe and FY-end EPS (assume NTM growth of 8.5% at FY-end)	EPS YoY, JPY	14.5x	15.0x	15.5x	16.0x	17.0x	17.5x
	+10% 222	3,500 pt 51,500 Yen	3,600 pt 53,500 Yen	3,750 pt 55,000 Yen	3,850 pt 57,000 Yen	4,100 pt 61,000 Yen	4,200 pt 62,000 Yen
	+8% 217	3,400 pt 50,500 Yen	3,550 pt 52,500 Yen	3,650 pt 54,000 Yen	3,750 pt 56,000 Yen	4,050 pt 59,500 Yen	4,100 pt 60,500 Yen
	+7% 215	3,400 pt 50,000 Yen	3,500 pt 52,000 Yen	3,600 pt 53,500 Yen	3,750 pt 55,500 Yen	4,000 pt 59,000 Yen	4,050 pt 60,000 Yen
	+6% 213	3,350 pt 49,500 Yen	3,450 pt 51,500 Yen	3,600 pt 53,000 Yen	3,700 pt 54,500 Yen	3,950 pt 58,500 Yen	4,000 pt 59,500 Yen
	+5% 211	3,300 pt 49,000 Yen	3,450 pt 51,000 Yen	3,550 pt 52,500 Yen	3,650 pt 54,000 Yen	3,900 pt 58,000 Yen	4,000 pt 59,000 Yen

Source: J.P. Morgan estimates Note: Orange shading indicates the target stock price for end-2026

Figure 19: Global stock price, EPS outlook

Index (As of: 2026/03/30)	Current level (pt)	2026 targets	% Upside	26 EPS (LCL basis)	EPS YoY Growth%	Regional allocation
TOPIX	3542	4,100	16%	212	10%	N Japan
S&P 500	6344	7,200	13%	315	16%	-
MSCI Europe	340	385	13%	22.8	13%	-
FTSE100	10128	10,300	2%	736	8%	-
MSCI EM	1412	1,575	12%	101	15%	OW EM
MSCI China	76	100	31%	7	15%	OW China

Source: J.P. Morgan Equity Strategy team estimates

Figure 20: Sector allocation

GICS 11 Sector	Energy	Materials	Industrials	Consumer Discretionary	Consumer Staples	Health Care	Financials	Information Technology	Comm. Services	Utilities	Real Estate
GICS 25 Industry Groups Blue = OW Red = UW Black = N	Energy	Materials	Capital Goods	Automobiles & Components	Consumer Staples Distr. & Retail	Health Care Equip. & Serv.	Banks	Software & Services	Telecom Serv.	Utilities	Real Estate
			Commercial & Prof. Serv.	Consumer Durab. & Appar.	Food, Beverage & Tobacco	Pharms., Biotech. & Life Sciences	Financial Services	Tech. Hardware & Equip.	Media & Entertainment		
			Transportation	Consumer Services	Household & Personal Products		Insurance	Semicon. & Semicon. Equip.			
				Consumer Discr. Distri. & Retail							
Allocation	OW	OW	N	OW	UW	UW	OW	OW	N	OW	OW

Source: J.P. Morgan

Figure 21: Major names in GICS 25 industry groups and JPM Strategy sector allocation

Sector weight in TOPIX index and Strategy team allocation (as of 2026/03/30)			Top 5 names with highest weight in sector as of 2026/03/30				
			Top1	Top2	Top3	Top4	Top5
Capital Goods	22.4%	OW	HITACHI LTD	mitsubishi corp	mitsui & co ltd	mitsubishi heavy industries	itochu corp
Banks	10.7%	OW	mitsubishi ufi financial gro	sumitomo mitsui financial gr	mizuho financial group inc	japan post bank co ltd	resona holdings inc
Semiconductors & Equip.	5.4%	OW	tokyo electron ltd	advantest corp	disco corp	renesas electronics corp	lasertec corp
Materials	5.1%	OW	shin-etsu chemical co ltd	nippon steel corp	sumitomo metal mining co ltd	asahei kasei corp	jx advanced metals corp
Tech Hardware & Equip.	4.8%	OW	keyence corp	murata manufacturing co ltd	canon inc	fujifilm holdings corp	tdk corp
Consumer Durables & Apparel	4.6%	OW	sony group corp	panasonic holdings corp	asics corp	seisui house ltd	bandai namco holdings inc
Media & Entertainment	2.5%	OW	nintendo co ltd	konami group corp	nexon co ltd	capcom co ltd	ly corp
Diversified Financials	2.3%	OW	orix corp	nomura holdings inc	daiwa securities group inc	sbi holdings inc	japan exchange group inc
Discretionary Retailing	2.2%	OW	fast retailing co ltd	pan pacific international ho	ryohin keikaku co ltd	rakuten group inc	sanrio co ltd
Real Estate	2.1%	OW	mitsubishi estate co ltd	mitsui fudosan co ltd	daiwa house industry co ltd	sumitomo realty & developmen	daito trust construct co ltd
Utilities	1.6%	OW	kansai electric power co inc	tokyo gas co ltd	osaka gas co ltd	chubu electric power co inc	tokyo electric power company
Energy	1.2%	OW	inpep corp	eneos holdings inc	idemitsu kosan co ltd	modec inc	cosmo energy holdings co ltd
Consumer Services	0.8%	OW	oriental land co ltd	food & life companies ltd	zensho holdings co ltd	skylark holdings co ltd	resorttrust inc
Automobiles & Components	7.3%	N	toyota motor corp	sumitomo electric industries	honda motor co ltd	denso corp	bridgestone corp
Pharm., Biotech	4.1%	N	takeda pharmaceutical co ltd	chugai pharmaceutical co ltd	daichi sankyo co ltd	otsuka holdings co ltd	astellas pharma inc
Insurance	4.1%	N	tokio marine holdings inc	sompo holdings inc	dai-ichi life holdings inc	ms&ad insurance group holdin	japan post holdings co ltd
Transportation	3.3%	N	east japan railway co	central japan railway co	mitsui osk lines ltd	nippon Yusen KK	ana holdings inc
Food, Beverage & Tobacco	2.9%	N	japan tobacco inc	ajinomoto co inc	asahei group holdings ltd	kirin holdings co ltd	meiji holdings co ltd
Software & Services	2.0%	N	fujitsu limited	tec corp	nomura research institute lt	obic co ltd	tis inc
Comm. & Prof. Services	1.9%	N	recruit holdings co ltd	secom co ltd	dai nippon printing co ltd	toppan holdings inc	baycurrent inc
Telecom. Services	4.0%	UW	softbank group corp	ntt inc	kddi corp	softbank corp	internet initiative japan
Health Care Equip. & Services	2.1%	UW	hoia corp	terumo corp	olympus corp	asahei intecc co ltd	sysmex corp
Food & Staples Retailing	1.5%	UW	seven & i holdings co ltd	aeon co ltd	matsukiyococokara & co	tsuruha holdings inc	kohe bussan co ltd
Household & Per. Prod.	0.8%	UW	kao corp	shiseido co ltd	unicharm corp	rohto pharmaceutical co ltd	lion corp

Source: Bloomberg Finance L.P., J.P. Morgan

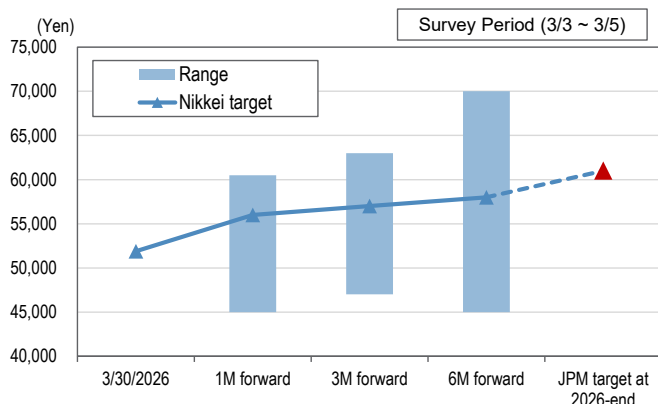
Figure 22: Style allocation in 2026

Style	Value	Growth	Quality	Low Vol	High Beta	Size (L-Smid)	Momentum
Allocation	OW	UW	OW	UW	N	OW	Reduce OW
Cycle (QMI) Exp ->Slowing	EV/EBITDA	Earning Mom	Buy	UW	N	OW	Take Profit
Position Mild Heavy	Mild-Heavy	Less Heavy	Less Heavy	Light	Heavy	Concentrated	Heavy
Themes Thems affecting Japan	Inflation/ROIC-WA CC/BO Hike	Quality-competitions/AI	Takaichi's Industrial Policy/AI	Defensive	Offensives	Concentration/Passive flows	Systematic releveraging

Source: J.P. Morgan Global Quantitative Strategy ([report](#))

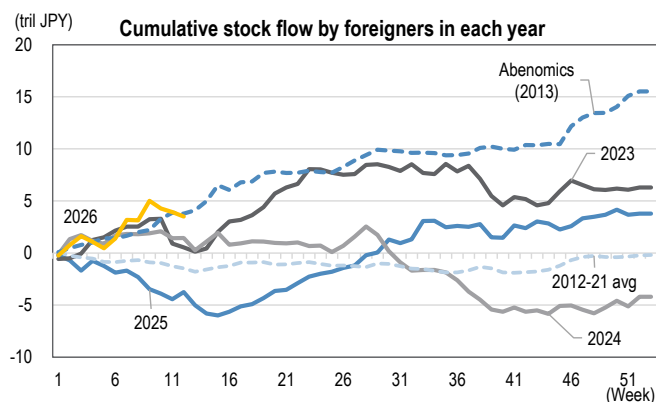
Reference: Market Consensus and Positions

Figure 23: JPM price target and market consensus



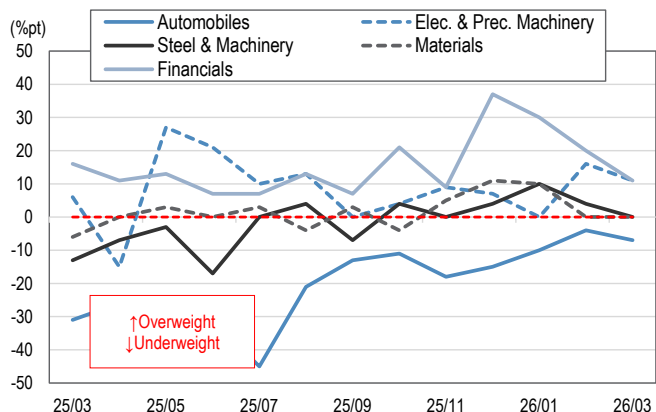
Source: QUICK Monthly Equity Survey, J.P. Morgan estimates
Note: 1M forward ~ 6M forward are QUICK survey.

Figure 25: YTD cumulative flow from foreigners



Source: QUICK, JPX, J.P. Morgan

Figure 27: Investor sentiment by sector (overseas demand/financials)



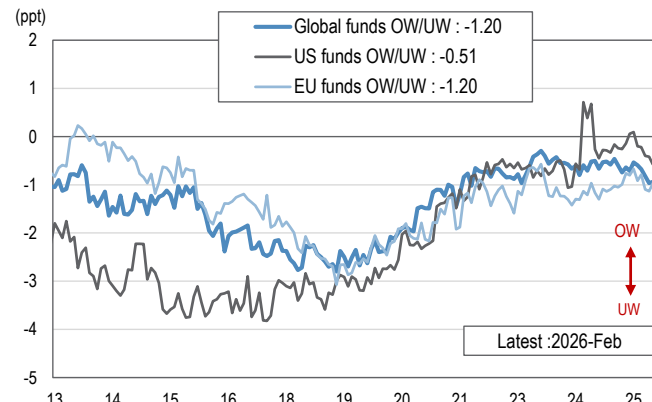
Source: QUICK Monthly Equity Survey, J.P. Morgan

Figure 24: Net profit estimates of JPM analysts and market consensus

NP growth by sector (YoY, 2026/03/31)	FY2025			FY2026		
	JPM	BBG	JPM - BBG	JPM	BBG	JPM - BBG
Auto&Tms Eqp	-18.9%	-20.0%	1.1%	46.9%	34.4%	12.5%
Elc Appl&Prec	15.2%	13.1%	2.1%	13.9%	17.3%	-3.4%
Machinery	11.3%	15.5%	-4.2%	31.8%	30.8%	1.0%
Steel&Nonfer	-48.5%	-61.0%	12.5%	160.0%	208.3%	-48.3%
RawMatl & Chm	14.2%	13.0%	1.2%	11.1%	10.4%	0.7%
Foods	21.1%	19.3%	1.9%	10.9%	9.9%	1.0%
Retail Trade	19.8%	17.4%	2.4%	7.9%	8.3%	-0.3%
Pharmaceutical	65.7%	63.1%	2.6%	10.7%	6.3%	4.4%
Transprt&Logi	-22.1%	-22.1%	-0.1%	-6.0%	-3.5%	-2.4%
Real Estate	-2.8%	-7.2%	4.4%	-2.6%	-4.6%	1.9%
Const & Mater.	15.4%	8.3%	7.1%	23.1%	31.9%	-8.8%
IT & Service	12.5%	15.8%	-3.2%	12.6%	10.0%	2.6%
Commr & WhTrd	-2.9%	-4.3%	1.4%	15.0%	9.1%	5.9%
Banks	25.5%	25.0%	0.5%	18.8%	11.6%	7.2%
Fincl ex Bank	17.0%	17.9%	-0.9%	8.0%	1.6%	6.4%
JPM coverage	6.9%	6.1%	0.8%	17.9%	14.2%	3.7%

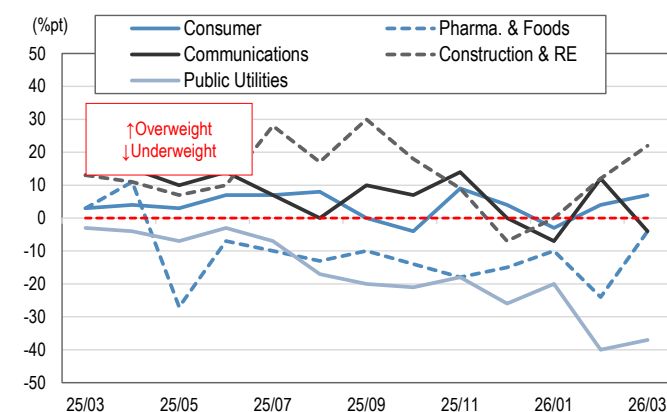
Source: Bloomberg Finance L.P., J.P. Morgan
Note: Only J.P. Morgan analyst coverage names.

Figure 26: Allocation to Japan equities by global active equity funds



Source: EPFR, J.P. Morgan

Figure 28: Investor sentiment by sector (domestic demand/other)



Source: QUICK Monthly Equity Survey, J.P. Morgan

Investment Themes

Figure 29: Oversold TOPIX 500 Constituents within Strategy OW Sectors (Screening)

Code	会社名	Name	GICS 業種グループ	GICS industry group	JPM analyst	JPM analysts' rating	NTM BBGe PER (x) as of 03/31	Avg NTM BBGe PER (x) from 26/1/1-2/28	Z score (PER) as of 03/31
TOPIX index							16.24	17.30	(2.22)
5021 JT	コスモエネルギーホールディングス	COSMO ENERGY HOLDINGS CO LTD	エネルギー	Energy	Jiro Iokibe	OW	6.85	9.00	(9.81)
6506 JT	安川電機	YASKAWA ELECTRIC CORP	資本財	Capital Goods	Tatsuya Maruyama	N	22.61	29.90	(8.15)
6472 JT	N T N	NTN CORP	資本財	Capital Goods	-	NR	12.87	19.48	(7.54)
5411 JT	JFEホールディングス	JFE HOLDINGS INC	素材	Materials	Tatsuya Maruyama	OW	8.32	10.70	(7.37)
7701 JT	島津製作所	SHIMADZU CORP	テクノロジー	Tech Hardware & Equip.	Naoko Saito	OW	17.82	20.78	(7.03)
6479 JT	ミネベアミツミ	MINEBEA MITSUMI INC	資本財	Capital Goods	Akinori Kanemoto	OW	12.08	15.99	(6.93)
6857 JT	アドバンテスト	ADVANTEST CORP	半導体・半導体製造装置	Semiconductors & Equip.	Mio Shikanai	OW	31.13	46.48	(6.83)
6954 JT	ファナック	FANUC CORP	資本財	Capital Goods	Tatsuya Maruyama	OW	26.63	33.54	(6.10)
6632 JT	JVCケンウッド	JVCケンウッド	耐久消費財・アパレル	Consumer Durables & Apparel	-	NR	9.05	10.82	(6.01)
5714 JT	DOWAホールディングス	DOWA HOLDINGS CO LTD	素材	Materials	-	NR	9.77	14.93	(5.98)
5901 JT	東洋製罐グループホールディングス	TOYO SEIKAN GROUP HOLDINGS L	素材	Materials	-	NR	16.72	18.93	(5.94)
6525 JT	KOKUSAI ELECTRIC	KOKUSAI ELECTRIC CORP	半導体・半導体製造装置	Semiconductors & Equip.	-	NR	26.27	34.97	(5.73)
8111 JT	ゴールドウイン	GOLDWIN INC	耐久消費財・アパレル	Consumer Durables & Apparel	-	NR	11.46	12.98	(5.70)
4680 JT	ラウンドワン	ROUND ONE CORP	消費者サービス	Consumer Services	-	NR	10.88	13.97	(5.53)
8570 JT	イオンフィナンシャルサービス	AEON FINANCIAL SERVICE CO LT	金融サービス	Diversified Financials	Koki Sato	UW	11.34	12.91	(5.46)
1808 JT	長谷工コーポレーション	HASEKO CORP	耐久消費財・アパレル	Consumer Durables & Apparel	-	NR	11.16	13.09	(5.31)
4042 JT	東ソー	TOSOH CORP	素材	Materials	-	NR	11.26	12.91	(5.25)
4208 JT	UBE	UBE CORP	素材	Materials	-	NR	8.54	9.80	(5.12)
6471 JT	日本精工	NSK LTD	資本財	Capital Goods	-	NR	16.51	21.74	(4.96)
8604 JT	野村ホールディングス	NOMURA HOLDINGS INC	金融サービス	Diversified Financials	Koki Sato	OW	9.45	11.51	(4.95)
5947 JT	リンナイ	RINNAI CORP	耐久消費財・アパレル	Consumer Durables & Apparel	-	NR	14.04	15.72	(4.88)
2127 JT	日本M&Aセンターホールディングス	NIHON M&A CENTER HOLDINGS IN	金融サービス	Diversified Financials	-	NR	15.29	17.98	(4.81)
5406 JT	神戸製鋼所	KOBE STEEL LTD	素材	Materials	Tatsuya Maruyama	N	7.61	8.86	(4.64)
6988 JT	日東電工	NITTO DENKO CORP	素材	Materials	-	NR	14.35	16.95	(4.56)
7751 JT	キヤノン	CANON INC	テクノロジー	Tech Hardware & Equip.	Junya Ayada	N	11.08	12.29	(4.52)
2433 JT	博報堂DYホールディングス	HAKUHODO DY HOLDINGS INC	メディア・娯楽	Media & Entertainment	-	NR	14.42	17.13	(4.36)
1925 JT	大和ハウス工業	DAIWA HOUSE INDUSTRY CO LTD	不動産管理・開発	Real Estate	-	NR	9.26	10.28	(4.35)
8227 JT	しまむら	SHIMAMURA CO LTD	一般消費財・サービス	Discretionary Retailing	Dairo Murata	N	15.26	16.75	(4.28)
6925 JT	ウシオ電機	USHIO INC	資本財	Capital Goods	-	NR	20.55	25.20	(3.96)
5713 JT	住友金属鉱山	SUMITOMO METAL MINING CO LTD	素材	Materials	-	NR	13.76	19.86	(3.94)
3289 JT	東急不動産ホールディングス	TOKYU FUDOSAN HOLDINGS CORP	不動産管理・開発	Real Estate	-	NR	9.92	11.27	(3.93)
7951 JT	ヤマハ	YAMAHA CORP	耐久消費財・アパレル	Consumer Durables & Apparel	Junya Ayada	N	15.51	17.40	(3.87)
6448 JT	ブラザー工業	BROTHER INDUSTRIES LTD	テクノロジー	Tech Hardware & Equip.	-	NR	10.60	12.47	(3.86)
8424 JT	芙蓉総合リース	FUYO GENERAL LEASE CO LTD	金融サービス	Diversified Financials	-	NR	7.68	9.18	(3.84)
3132 JT	マクニカホールディングス	MACNICA HOLDINGS INC	テクノロジー	Tech Hardware & Equip.	-	NR	12.00	13.73	(3.76)
5401 JT	日本製鉄	NIPPON STEEL CORP	素材	Materials	Tatsuya Maruyama	N	8.01	11.03	(3.75)
4401 JT	ADEKA	ADEKA CORP	素材	Materials	-	NR	12.20	15.54	(3.75)
6501 JT	日立製作所	HITACHI LTD	資本財	Capital Goods	Junya Ayada	OW	21.59	25.70	(3.73)
6268 JT	ナブテスコ	NABTESCO CORP	資本財	Capital Goods	-	NR	21.87	26.81	(3.72)
3291 JT	飯田グループホールディングス	IIDA GROUP HOLDINGS CO LTD	耐久消費財・アパレル	Consumer Durables & Apparel	-	NR	10.16	11.34	(3.71)
6724 JT	セイコーエプソン	SEIKO EPSON CORP	テクノロジー	Tech Hardware & Equip.	Junya Ayada	UW	11.84	13.21	(3.70)
9831 JT	ヤマダホールディングス	YAMADA HOLDINGS CO LTD	一般消費財・サービス	Discretionary Retailing	Dairo Murata	N	10.52	11.46	(3.67)
8035 JT	東京エレクトロン	TOKYO ELECTRON LTD	半導体・半導体製造装置	Semiconductors & Equip.	Mio Shikanai	OW	26.62	32.03	(3.65)
8282 JT	ケーズホールディングス	K'S HOLDINGS CORP	一般消費財・サービス	Discretionary Retailing	Dairo Murata	N	15.41	16.20	(3.64)
8410 JT	セブン銀行	SEVEN BANK LTD	銀行	Banks	Takahiro Yano	UW	18.12	19.11	(3.60)
4183 JT	三井化学	MIITSUI CHEMICALS INC	素材	Materials	Yasuhiro Nakada	N	11.37	13.60	(3.51)
6841 JT	横河電機	YOKOGAWA ELECTRIC CORP	テクノロジー	Tech Hardware & Equip.	-	NR	18.04	21.15	(3.47)
9616 JT	共立メンテナンス	KYORITSU MAINTENANCE CO LTD	消費者サービス	Consumer Services	-	NR	11.01	12.81	(3.44)
9435 JT	光通信	HIKARI TSUSHIN INC	資本財	Capital Goods	-	NR	14.90	16.37	(3.39)
8303 JT	SBI新生銀行	SBI SHINSEI BANK LTD	銀行	Banks	Takahiro Yano	UW	14.83	17.61	(3.36)

Source: QUICK, Bloomberg Finance L.P., J.P. Morgan

Note: Based on data for TOPIX 500 constituents, we compute a Z-score for the latest P/E ratio using daily P/E data from year-to-date 2026 through end-February, based on 12-month forward Bloomberg consensus estimates. "Strategy overweight (OW) sectors" are defined in the main text. Within the OW sectors, the 50 stocks with the lowest Z-scores are selected and ranked in ascending order

Figure 30: Japan Beneficiaries from Domestic Consumption Recovery (re-posted from December [5, 2025 report Japan Year Ahead 2026](#); Bloomberg ticker: JPRJBDCR)

As of 2026/03/31												
No.	Ticker	Company name	TSE 33 Sector	Market cap (bil JPY)	20D ADVT (bil JPY)	2026 YTD return	NTM EPS growth	NTM PER (x)	Share price (JPY, as of 03/31)	JPM price target (JPY, Dec-26)	Rating	JPM covering analyst
1	4661	ORIENTAL LAND CO LTD	Services	4,861	13.3	-6.8%	7.1%	32.3	2,700	4,700	OW	Junko Yamamura
2	9022	CENTRAL JAPAN RAILWAY CO	Land Transportation	4,089	10.6	-5.6%	-6.2%	7.8	4,084	5,300	OW	Ryota Himeno
3	4452	KAO CORP	Chemicals	2,802	11.5	-1.8%	15.8%	20.5	6,178	7,800	OW	Akiko Kuwahara
4	7832	BANDAI NAMCO HOLDINGS INC	Other Products	2,514	9.8	7.3%	23.7%	17.5	3,867	5,600	OW	Junko Yamamura
5	7532	PAN PACIFIC INTERNATIONAL HO	Retail Trade	3,076	10.1	3.9%	19.5%	24.1	968	1,100	OW	Dairo Murata
6	3563	FOOD & LIFE COMPANIES LTD	Retail Trade	1,076	17.5	17.1%	23.2%	33.6	9,270	10,800	OW	Ami Terai
7	4751	CYBERAGENT INC	Services	673	5.3	-0.3%	3.8%	16.6	1,327	1,700	OW	Junko Yamamura
8	9142	KYUSHU RAILWAY COMPANY	Land Transportation	582	4.0	7.6%	15.8%	10.7	3,763	4,900	OW	Ryota Himeno
9	3391	TSURUHA HOLDINGS INC	Retail Trade	1,127	4.4	-13.8%	-	22.7	2,481	3,000	OW	Dairo Murata
10	9064	YAMATO HOLDINGS CO LTD	Land Transportation	629	2.5	-21.0%	-6.0%	17.3	1,745	2,100	N	Ryota Himeno
11	9143	SG HOLDINGS CO LTD	Land Transportation	947	3.7	3.1%	24.5%	14.0	1,479	1,950	OW	Ryota Himeno
12	2282	NH FOODS LTD	Foods	697	3.6	7.2%	32.9%	16.6	7,030	6,800	N	Satoshi Fujiwara
13	7649	SUGI HOLDINGS CO LTD	Retail Trade	660	2.4	-5.7%	-17.4%	18.0	3,476	4,400	OW	Dairo Murata
14	2579	COCA-COLA BOTTLERS JAPAN HOL	Foods	617	3.3	13.4%	-	24.8	3,600	4,800	OW	Satoshi Fujiwara
15	4912	LION CORP	Chemicals	466	2.1	0.9%	-5.3%	17.6	1,665	2,150	OW	Akiko Kuwahara
16	2371	KAKAKU.COM INC	Services	411	3.6	-10.8%	20.8%	17.6	2,074	2,200	N	Junko Yamamura
17	4922	KOSE HOLDINGS CORP	Chemicals	356	1.6	12.1%	-11.5%	25.1	5,874	6,100	N	Akiko Kuwahara

Source: Bloomberg Finance L.P., J.P. Morgan

Note: These are stocks selected by JPM sector analysts based on each company's business profile (such as exposure to domestic consumption) that are expected to benefit from the recovery in domestic consumption. 12-month forward EPS and PER are based on Bloomberg consensus. NTM EPS growth for Tsuruha (3391) and CCBJ (2579) is not meaningful. Please refer to the [2025/12/5 report Japan Year Ahead 2026](#) for details.

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